



Executive Summary Template

PowerCo commissioned this analysis to understand customer churn in the SME segment, based on a hypothesis from the sales team that price sensitivity is the main driver behind customers leaving.

The dataset shows a base churn rate of ~9.7%. A Random Forest model built using price, consumption, and contract-based features reached 90.3% accuracy - but this is barely above simply predicting no churns. Recall was only 5.5%, meaning the model correctly identified fewer than 1 in 18 customers who actually churned.

Price sensitivity alone does not reliably predict churn - the model's weak recall suggests other factors are driving customer attrition. We recommend against launching a broad price-based discount campaign, and instead:

- address class imbalance in the model,*
- re-validate recall before using this model to target retention spend.*

Is price sensitivity actually the primary driver of churn, and is the current model reliable enough to guide a targeted retention strategy?